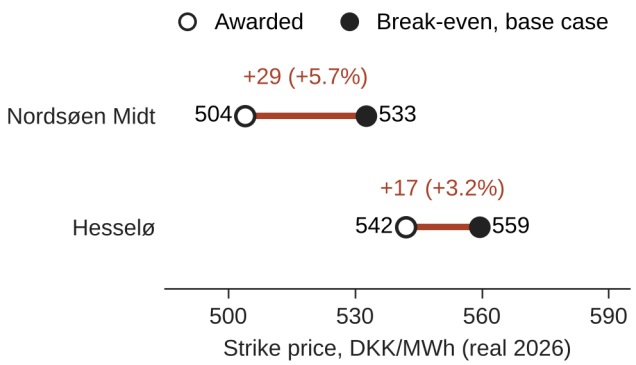
Reverse-engineering Vattenfall's 2026 Danish offshore wind bids

What do DKK 504/MWh (Nordsøen Midt) and DKK 542/MWh (Hesselø) imply about cost, return and wind?

Fergal Israel · Independent analysis from public data · October 2026

Vattenfall's winning prices are 3–6 % below what my model needs to break even. They work at a real after-tax return of about 4.5–4.7 %, around 1 pp above Vattenfall's own discount rate for wind, or with 4–6 % lower build costs. With 15 MW turbine costs the return falls to 2.8–3.1 %, so the bids look like a bet on 20 MW turbines.

The gap to break-even

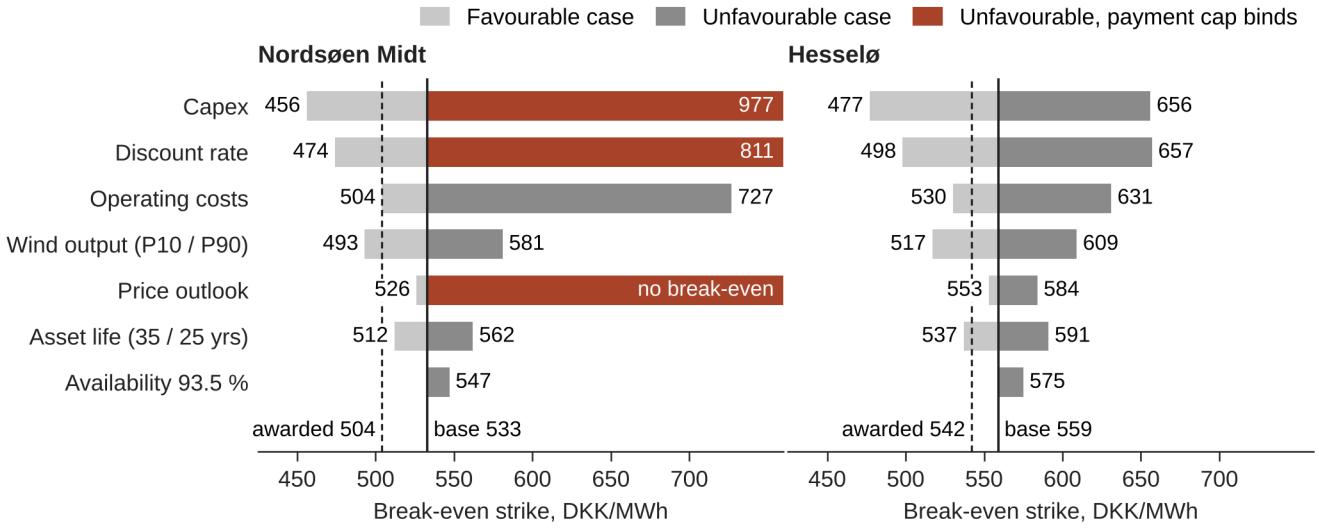


Any one of these closes it

	Nordsøen Midt	Hesselø
Return, real after tax	4.5 %	4.7 %
Build cost, DKK m/MW	20.9	21.4
Wind output	P10	P10

Base case: 5.0 % return, DKK 22.3m/MW (EUR 3.0m), median (P50) output. Vattenfall's 2025 report puts its wind discount rate at about 3.6–5.3 % in real terms.

What moves the break-even price



One input at a time. Red: the state's cap on CfD payments is used up, so a higher strike adds almost no value.

The bigger risk: the payment cap

The cap funds an average top-up of DKK 167/MWh at Nordsøen Midt but 313 at Hesselø. In a low-price scenario Nordsøen Midt's cap runs out in July 2047, leaving DKK 5.5bn unpaid. Hesselø never uses more than 76 %.

What it means for the next tender

Nordsøen Syd (bids due October 2028) has a cap of DKK 6.6bn, about DKK 75/MWh of top-up. Its bidders will have to price the risk of low power prices explicitly. (My interpretation.)

Built from the tender documents, hourly ERA5 wind, Danish power prices and Danish Energy Agency cost and price data, in a monthly 30-year cash-flow model in Python. Contract terms use the Nordsøen Syd documents as a proxy. Not affiliated with Vattenfall, the DEA or Energinet.

Full memo, code and sources: github.com/fergal567/danish-offshore-cfd-bid-model